

choose to wait. Sitting on your hands can be difficult when you see the portfolios of others increase in value, but we believe this is better than owning positions you don't find attractive. In their fiscal year 2000 Annual Letter to Shareholders, Leucadia National Corporation's former chairman, Ian Cumming, and former president, Joseph Steinberg, spoke to this dynamic, likening themselves to groundhogs: "We pop out of our holes each and every morning and look around the marketplace for investment opportunities.¹ The first question we ask is, 'Do we see anything that can earn more than the risk-free rate, adjusted for risk?' When the markets are as high as they have been in the last many years, we saw very little of interest and went back down our holes. . . . Patience is required for this process, but it is not complicated." Unfortunately, most investors prefer to see stock prices appreciating before they invest, and they usually sell when they get scared, which is often after experiencing a measurable decline in the value of their portfolio. As a result, the average investor underperforms stock indexes and their own goals, missing many large market moves to the upside, while still participating in the downside.

If you can ultimately match the return of the market while truncating the worst periods of market downside, you're delivering considerable value to your clients. A broad, unfettered mandate has allowed us to accomplish this, using a diverse tool kit to invest in a broad range of markets and instruments. We have allocated capital across a company's capital structure. We have put money into public and private credit, as well as in a variety of market capitalizations, industries, geographies, and asset classes. We have even had short positions from time to time.

I believe it is foolish to give a money manager an overly narrow mandate. The marketing conversations may be easier, but the

¹ Leucadia National is now part of Jefferies Financial Group.